Country Compliance Report:

Hong Kong

Information class: Restricted

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Content

Introduction and document purpose

Pagero Group builds the world's largest, open business network – so you can reach any business, anywhere in the world. No matter how many borders your operations may cross or how many systems you are connected to, we take care of the technical and regulatory requirements across your entire order-to-cash, purchase-to-pay and freight processes. We give you data accuracy and security, transparency and real-time visibility – through a single connection.

At Pagero Group, we believe that technology supports sustainability. That's why we are committed to helping businesses become 100% paperless, supporting resource efficiency, transparency and business continuity.

The main purpose of this country compliance report is to provide the reader with an in-depth analysis of the focus country's laws, regulations, and process with regards to e-invoicing and other trade documents. The analysis considers topics such as business requirements before switching to electronic invoices, e-document creation, e-document distribution, integrity and authenticity, and, finally, e-archiving.

This document guides how Pagero solutions support customers in the focus country to meet local regulations and serves as a supplement to Pagero General E-invoicing Process Description.

The information provided by Deloitte which is part of this material was solely prepared as general information. It was prepared to meet with specific requirements and was not prepared for any other purposes or objectives. Changes in conditions over time may affect the contents of the material and its content. We do not express any opinion or conclusion in this material.

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1. Terminology

This section outlines general and country-specific terminology for Hong Kong, which will be used throughout the whole document.

Term	Explanation
B2B	Business-to-Business is a transaction or business conducted between one business and another, such as a wholesaler and retailer
B2C	Business-to-Consumer normally refers to the process of businesses selling products and services directly to consumers, with no middleman i.e.supplier to consumer.
B2G	Business-to-Government refers to the business relationship a company selling products, services or information to governments or government agencies
BRN	Business Registration Number. Every business operating in Hong Kong is required to have a BRN issued by the Inland Revenue Department. The BRN number works as Tax Identification Number (TIN). Is an 8-digit sequence.
CRN	Company Registration Number. Works as a “social security number” and to identify the company.
Companies Registry	The Registry administers and registers local and non-Hong Kong companies and provides the public services to inspect and obtaining company information.
IRD	Inland Revenue Department
Post Audit	The post-audit model allows trading partners to exchange e-documents as well as other transactional fiscal documents (including but not limited to invoices, further called “e-documents”) directly with each other, without any real-time or immediate controls performed by the tax office. Even though eDocument is allowed, there are no prescriptions as to in what format, infrastructure, or how they should be issued or distributed. The tax audits are performed afterward

2. General overview

This section provides an initial introduction into the local e-invoicing environment within Hong Kong, including the types of local e-invoice regulations, go-to governmental and industry bodies, and whether multiple invoicing regimes, that is, varying regulatory requirements, exist for example by industry, business size, or other defining factors.

Item	Commentary
Authorities and other agencies relevant for e-invoicing	• Inland Revenue Department (IRD) • Companies Registry (CR)
Main applicable legislation in respect of e-invoice issuance, exchange, reception and retention	• Electronic Transactions Ordinance (ETO) • Inland Revenue Ordinance (IRO)

3. E-Invoice status

When considering sending or receiving e-invoices two basic questions should be considered: is invoice equal to paper invoice from the legal perspective; and if there are any situations where e-Invoicing is mandatory for reception or transmission.

Item	Commentary
E-invoice status	• Allowed
Varying invoicing regimes[1]	• The same regime for both B2B and B2G
e-Invoicing model	• Post Audit
e-Invoice definition[2]	• There is no official definition of e-invoice in Hong Kong • Electronic record means a record generated in digital form by an information system, which can be— a. transmitted within an information system or from one information system to another; and stored in an information system or other medium; b. stored in an information system or other medium
Scope of taxpayers the e-document mandate applies to	• Not mandated
Mandatory AoR (document response) process	• No explicit requirements
Implementation / roll-out plan	• N.a.

[1] It is possible that a business is required to send e-invoice in some scenarios, and send voluntarily in others
[2] Differing definitions may exist between different levels of government, or differing legislation, i.e. accounting law and IT law

4. Before switching to e-invoices

4.1. IT[3] registration

Hong Kong does not have a VAT, goods and services tax, or sales tax. Only certain items, for instance, liquor and tobacco, are subject to tax and collected by Customs and Excise Department.

4.2. Process to switch to e-Invoicing

Even though many countries encourage or even mandate e-Invoicing, there may be specific requirements on the Trading parties – typically the Supplier – before starting an e-Invoicing program. This section provides a brief overview of such requirements.

Item	Commentary
Actions towards authorities, required in order to enable electronic processing instead of conventional processing	• No explicit requirements
Actions between the trading partners, e.g. customer acceptance, agreement, etc.	• No explicit requirements
Transition period from the moment of starting e-invoicing during which, e.g. parallel invoicing may be allowed	• No explicit requirements

4.3. Outsourcing invoice issuance function

Many companies decide to outsource the issuance process of e-invoicing to third parties who have the necessary infrastructure and knowledge of implementing and executing e-Invoicing. This may be driven by a technical limitation or local regulatory requirements. However, before doing so, it is highly recommended that a supplier investigates whether such outsourcing is permissible and whether any requirements must be fulfilled.

[3] For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

Item	Commentary
Whether outsourcing of invoice issuance (creation) is allowed or not	• Allowed
Whether statement of outsourced issuance is required on the invoice	• No specific rules on outsourcing invoicing function. Companies do not require to indicate whether the invoices are issued by themselves or outside vendor.
Whether outsourcing agreement is required between the taxpayer and the third-party is performing actions on its behalf	• No explicit requirements, however an outsourcing arrangement should be undertaken in the form of a legally binding written agreement.
Content and formality requirements to the Outsourcing agreement between the taxpayer and the third-party	• An outsourcing arrangement should be undertaken in the form of a legally binding written agreement. There are, however, no explicit agreement content requirements
Whether any notifications to or derogations from authorities are required in the specific jurisdiction for outsourced issuance	• No explicit requirements
Whether, and which, requirements exist to the outsourced party to be able to act on behalf of the taxpayer	• No explicit requirements

4.4. Outsourcing invoice receipt function

Due to the unique nature of the AP process, it may be required for the buyer (invoice receiver) to have an explicit agreement, or other permissions to be put in place for Service Providers to conduct invoice receiving functions on behalf of them.

Hong Kong has no explicit requirements on the outsourcing of the function of receiving invoices (similar to the function to issue invoices as outlined above).

5. Document processing

5.1. Format and other technical requirements

Globally, a multitude of e-invoicing formats and infrastructures exist. Local regulators often offer or mandate the use of certain formats, standards, or platforms for the transmission or delivery of invoices or other tax-related documents. Pagero has the technical depth and experience to support country-specific technical requirements globally.

Item	Commentary
Mandated document format(s) for exchange with mandated Gov platform(s) and/or between the trading parties	• N.a.
Other document format(s) commonly used for exchange between trading parties	• Adobe Acrobat (.pdf) • Microsoft Office documents (.doc, .docx, .xls and .xlsx) • UBL 2.0
Mandated platform(s) required to have connection with for e-document processing	• N.a.
Other platform(s) relevant for e-document processing	• E-Procurement Programme (B2G Only)
Schematron(s), XSD schema or other official mechanisms ensuring document content	• N.a.
Routing ID's / codes or other identifiers used in the jurisdiction for counter-party identification and document exchange	• N.a.
Other technical aspects	• N.a.

5.2. Communication with hub

Regulations in Hong Kong foresee the following options on how e-documents can be communicated with the mandatory infrastructure(s):

Communication options	Commentary
Automated	• N.a.
Manual	• N.a.
Other options	• N.a.

5.3. Issuance and clearance process

This section describes the document issuance and clearance process from the supplier perspective.

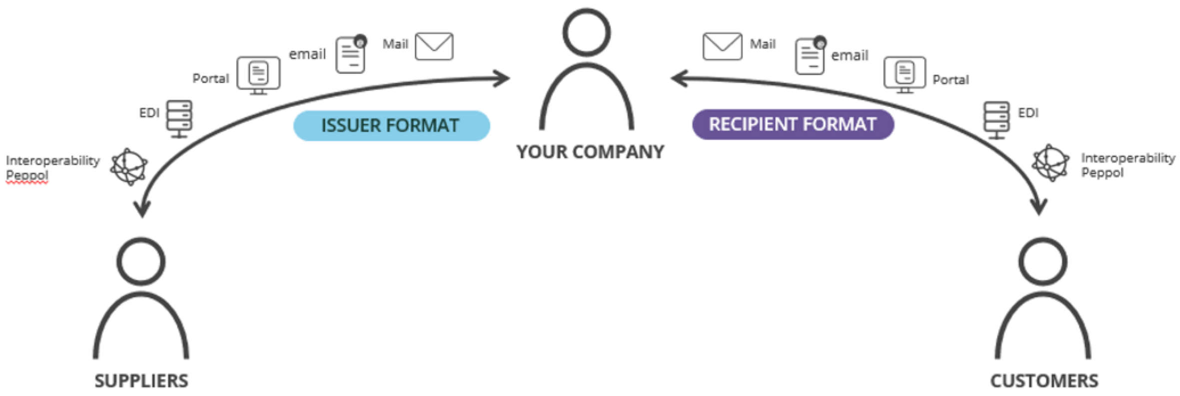
5.3.1. Domestic documents

This section describes the process for documents created to be transmitted within the given country

B2B and B2G: Post-Audit

Documents can be exchanged with your customers in various formats and via various exchange mechanisms, according to business-related preferences

The key requirements are to ensure the Hong Kong-specific document content, document integrity and authenticity, as well as archiving requirements are fulfilled



(1) Documents can be exchanged with your suppliers and customers in various formats and via various exchange mechanisms, due to legal requirements and other business-related preferences

(2) The key requirements are to ensure the country-specific document content, document integrity, and authenticity, as well as archiving requirements

(3) Neither document format nor exchange mechanism is mandated.

5.3.2. Cross-Border

This section describes the requirements for cross-border outbound documents such as sales invoices

No explicit requirements. See section 5.3.1 above.

5.4. Reception and validation process

This section describes the document reception, validation and acceptance processes from the buyer perspective.

There are no explicit requirements on reception, validation, or AoR processes for both B2B and B2G. Hong Kong follows the post-audit model, which has been outlined above under section 5.3.1.

5.4.1. Domestic documents

This section describes the process for documents received for purchases or transactions within the given country

No explicit requirements. See section 5.3.1 above.

5.4.2. Cross-Border

This section describes the requirements for cross-border inbound documents such as purchase invoices

No explicit requirements. See section 5.3.1 above.

5.5. AoR (response) process

No explicit requirements.

Date and time of receipt must be retained. A timestamp can facilitate evidence of such.

5.6. Hub validations

Some tax regimes require businesses to send tax documents to a predetermined hub either before, shortly after issuing invoices. Generally, a hub that requires this will send a reply to the issuer. This reply can be expressed as a clearance/ approval response, rejection, semi approved, etc.

There is no mandatory infrastructure conducting validations in Hong Kong.

5.7. Invoice presentation / copy

Some regimes require a visual presentation of the invoice file to be transmitted along with the structured invoice file. This section describes if there is any regulation concerning visual or image-based presentations of invoices as a copy for the original or vice versa.

There are no requirements for invoice copies to have any particular wording to differentiate it from the original, but it is recommended.

There are no explicit requirements on marking duplicate or copies of invoices. However, it is recommended to state if the invoice so issued is a duplicate.

Issuing a PDF Presentation (a human-readable duplicate) when Tax invoices are issued in machine-readable format files can be confusing. To ensure the correct management of original documents, in addition to technical controls, Pagero Online adds “Copy Tax Invoice” on PDF Presentations where Tax invoices have been issued as machine-readable format files.

5.8. Distribution between taxpayers

This section explains how and if trading parties can send invoices between each other. In some cases, hubs also distribute the tax document to the buyer.

Item	Commentary
Push communication	• No explicit requirements
Pull communication	• No explicit requirements
E-mail distribution	• Allowed
Webportal[4]	• Allowed
Scanning inbound invoices	• Allowed
Scanning outbound invoicing	• Allowed

5.9. Rectification process

This section will express the process that needs to be taken when there is an error in an invoice, how it is to be handled, and corrected by both buyer, seller, and if a notification needs to be delivered to the tax authority.

It is recommended that you supply your customer with a credit note, which can then form the basis of the adjustment to your sales records.

It is recommended that credit notes have a reference to the original invoice from which changes have been made/updated.

[4] Note, however, that prior to using and external portal, like Pagero’s Webportal, Suppliers are required to already have an invoice / invoice data in their internal accounting software. Portals are not designed for the purpose of replacing internal accounting but are a mechanism to make invoices available for the Buyer. Recommended only for businesses issuing fewer than 100 invoices annually.

5.10. Coexistence of paper and electronic invoices

Item	Commentary
Whether parallel invoicing (issuance and exchange of the same document in several formats, e.g. electronically and on paper) is allowed and/or whether there are any regulations surrounding it	• No explicit requirements
Whether the jurisdiction allows for document (e.g. invoice) dematerialization, i.e. destruction of the original paper invoice, for processing and/or archiving	• Not allowed.
Whether any conditions apply, and which, to the dematerialisation	• The general rule in Hong Kong is that companies have to keep accounting records for not less than 7 years. Although it is possible for a company to provide printed electronic record to tax authorities, the tax authorities may request the company to provide original document. So, it is recommended not to destroy any documents before the 7 years timeline.
Whether the jurisdiction allows for document (e.g. invoice) materialization, i.e. destruction of the original electronic document, for processing and/or archiving	• No specific rules in Hong Kong. Companies can print and archive the e-invoice on paper only.
Whether any conditions apply, and which, to the materialisation	• The relevant electronic record is retained in the format in which it was originally generated, sent or received, or in a format which can be demonstrated to present accurately the information originally generated, sent or received

5.11. Contingency invoicing

This refers to the process for e-invoicing if any mandatory infrastructure is inaccessible. If temporary measures are available, or allowed, to facilitate invoicing during the downtime.

In Hong Kong, there are no regulations in this regard. No mandatory infrastructure.

6. Document content requirements

6.1. Document types

Item	Commentary
Documents mandatory for issuance by supplier	• No explicit requirements
Documents mandatory for issuance by buyer	• No explicit requirements

Item	Commentary
Self-billing allowed	• No specific rules in Hong Kong. It is common for invoice to be issued by supplier.
Simplified invoice allowed	• Yes • No specific rules in Hong Kong. Companies can issue simplified invoices/purchase orders to its customer or suppliers as long as it is agreed with both parties.

6.2. Document numbering

This section outlines the requirements to the sequential numbering of invoices and, where applicable, other documents.

6.2.1. Document numbering by the taxpayer

Item	Commentary
A sequential number, based on one or more series, which uniquely identifies the invoice	• No, but recommended. • No specific rules in Hong Kong. However, it is common for companies to issue invoices in sequential order to ensure that all income are properly recorded.
Different series of sequential numbers allowed (e.g. a separate sequential	• No explicit requirements

numbering for intercompany billings, credit notes, etc.)	
Allowed to start a new sequential numbering every year	• No explicit requirements
Worldwide numbering on legal entity level allowed provided that gaps can be explained	• No explicit requirements
Required that the numbers follow the date of issuance (i.e. is it true that an invoice with number 2 cannot have an invoice date older than the invoice with number 1)	• No explicit requirements

6.2.2. Additional document numbering

This section should outline any additional numbering, e.g. provided in addition by the tax authority or that must be generated by the taxpayer based on specific specifications.

6.3. Indirect tax (IT)[5] rates

This section illustrates the applied IT[6] rates and provides a non-exhaustive list with examples of goods and/or services that fall within specific IT rates. IT rates that differ between different administrative units are clearly outlined.

There is no VAT, GST or any other sales tax in Hong Kong.

6.4. Mandatory IT invoice content

The section below illustrates the minimum legal requirements related to the content of invoices issued according primarily to the indirect tax regulations of Hong Kong. Please note that other additional content requirements might apply in addition, i.a. of technical character.

General	
Required to mention the word "invoice"	• No, but recommended. No specific rules in Hong Kong. Though, it is common to state "invoice" or "feenote" or alike on the invoice.
Required that the invoice is issued in the language of the country who is entitled to impose the invoice requirements:	• No In Hong Kong, records (including invoice) are issued in English or Chinese
Sequential numbering	• No, but recommended. No specific rules in Hong Kong. However, it is common for companies to issue invoices

[5] For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

[6] Local name: there is no VAT, GST or any other sales tax in Hong Kong

	in sequential order to ensure that all income is properly recorded.
Required to mention copy or duplicate in case a copy is issued	• No, but recommended
Reference in case of outsourced issuance	• No specific rules on outsourcing invoicing function. Companies do not require to indicate whether the invoices are issued by themselves or outside vendor.

Supplier data	
Full legal name of the supplier	• No, but recommended. No specific rules in Hong Kong. However, to ensure customer settle the invoice properly, it is common for supplier to state its legal name on invoice.
Allowed to abbreviate or shorten the legal name of the supplier	• Yes. There are no specific rules in Hong Kong. Suppliers can state its abbreviate or shorten name on invoice. However, it is recommended to state its legal name so that the customer can arrange settlement of invoice properly.
Full address of the supplier in country of establishment	• No, but recommended
Allowed to mention the PO box address instead of the legal address of the supplier	• Yes
IT identification number/sales tax number from the supplier in the country where the supply takes place for IT purposes	• No No VAT in HK so no VAT identification number/ sales tax number on invoice. Only invoice number generated by the supplier appeared on invoice generally.
IT identification number of the supplier in the country of establishment	• No No VAT in Hong Kong, so, no VAT ID number/ sales tax number of the supplier in the country of establishment will be shown on invoice.
Information (i.e. name, address, IT number) of the fiscal representative of the supplier (if appointed)	• No
Legal form of the supplier	• No
Trade register number of the supplier	• No
Company Registry data of the supplier (e.g. court registration, address of chamber of commerce)	• No
Place of legal seat of the supplier (Headquarters)	• No

Other supplier data	• There are no invoice related rules in Hong Kong. It is common for companies to for supplier data to state its company name, address, and contact number on invoice.

Customer data	
Full legal name of the customer	• No, but recommended
Allowed to abbreviate or shorten the legal name of the customer	• Yes • There are no invoice related rules in Hong Kong. Though, it is common for companies to state full legal name of customer instead of abbreviate or shorten name of customer on invoice.
Address of the customer in country of establishment	• No, but recommended There are no invoice related rules in Hong Kong. It is common for companies to state full correspondence address of customer for postage purpose.
Bill-to address when it is different from the registered address of the customer	• No There are no invoice related rules in Hong Kong. It is common for companies to state full correspondence address of customer for postage purpose. The registered address is irrelevant.
Allowed to address the invoice to a Post Office Box address instead of the legal address of the customer	• Yes There are no invoice related rules in Hong Kong. It is common for companies to state full correspondence address of customer, including PO box, for postage purpose.
IT identification number in the country where the supply takes place for IT purposes in case of domestic supplies (if available)	• No
IT identification number of the customer in the country of dispatch for invoices issued for exempt export supplies	• No
IT identification number of the customer in another Member than the Member State of dispatch for intra-Community supplies	• No
Information (i.e. name, address, IT identification number) of the fiscal representative (if customer has appointed a fiscal representative)	• No
Other customer data	• No

Transaction data	
Date of issue	• No, but recommended No specific rules in Hong Kong, but, it is common to show the date on invoice.
Date of supply (chargeable event)	• No, but recommended No specific rules in Hong Kong, but, it is common to show the date on invoice. If it invoice is related to provision of service, it is also common for the supplier to state the period of service rendered.
Date of prepayment	• No, but recommended No specific rules in Hong Kong. If there are prepayment, it is common to show the date (and amount) of prepayment in order to show the outstanding balance for the customer to arrange settlement.
Description of the goods/services	• No, but recommended No specific rules in Hong Kong. It is common for companies to state the description of goods / service rendered.
Quantity of the goods supplied or the extent of the services supplied	• No, but recommended No specific rules in Hong Kong. It is common for companies to state the quantity of goods supplied or the extend of services supplied to avoid dispute with customer.
Purchase order number	• No, but recommended • No specific rules in Hong Kong. It is common for companies to state the PO number, if any, for sake of easy identification.
Shipped from location (for the supply of goods)	• No
Shipped to location (for the supply of goods)	• No
Status of the goods (e.g. in bond, in free circulation)	• No
Incoterms	• No, but recommended
Other information on the supplied goods/services required (except in case of intra-Community supply of new means of transport)	• No specific rules in Hong Kong. It is common for companies to state other agreed terms on invoice, e.g. credit term.

Financial data	
Taxable base per item (unit price excl. IT)	• N.a. - no VAT in Hong Kong. It is a common practice to list out the number of goods sold, description of goods as well as total invoice amount to avoid disputes with customers.
Total taxable base per IT rate or exemption	• N.a.
IT rate applied	• N.a.
Total IT amount calculated per rate	• N.a.
Total IT amount payable	• N.a.
Discounts/rebates if not included in the unit price	• No, but recommended
Total gross amount (including IT)	• No
Mandatory to mention the total IT amount due in the national currency	• No
Which other amounts (i.e. none, only the total IT amount) must be mentioned in the national currency of your country	• There are no VAT and no specific rules on invoice content in Hong Kong. It is common for a company to state the gross amount and discount (if any) on invoice in any currency as agreed with the customer.
Exchange rate (if the invoice is not issued in the local currency)	• No
Which exchange rate must be applied in order of priority	• N.a.
Terms of payment	• No, but recommended No specific rules in Hong Kong but it is recommended to state the payment terms (e.g. settle in 30 days) to avoid disputes with customers.
IBAN and BIC number of supplier	• No

Specific references for invoices	
Invoice reference in case of IT exemption or reverse charge	• N.a.
List the required references in case of exemption or reverse charge	• No
Required to specifically mention 'margin scheme - travel agencies', 'margin scheme - second hands goods', if applicable	• No
Reference required if the transaction takes place outside the EU as a result of the Use and enjoyment provisions	• N.a.
Specific other reference required, e.g. in case of barter transaction, prepayments, etc. (not self-billing or special margin schemes)	• No specific rules in Hong Kong. But it is recommended to state clearly on the invoice what does it bill for, e.g. prepayment, barter, second hands goods to avoid dispute with customers in the future.
Specific references required in case invoicing is outsourced	• No specific rules on outsourcing invoicing function. Companies do not require to indicate whether the invoices are issued by themselves or outside vendor.
Reference to 'cash accounting scheme' in B2B sales in case the IT is due by the supplier upon receipt of the payment/IT is deductible by the customer upon payment	• N.a.
Other specific requirements/references to be mentioned on an invoice	• No explicit requirements

6.5. Simplified invoice

The supplier is not always obliged to issue a complete invoice. In certain scenarios, they may be able to issue a so-called simplified invoice.

Simplified invoicing	
Possible to issue simplified invoices for certain supplies	• Yes No specific rules in Hong Kong. Companies can issue simplified invoices/ purchase orders to its customer or suppliers as long as it is agreed with both parties.
Maximum amount for simplified invoices	• No explicit requirements
Other supplies for which a simplified invoice can be issued	• No explicit requirements
Simplified invoices limited to certain type of supplies	• No
Simplified invoices not allowed for certain transactions	• No
Minimum content requirements on a simplified invoice	• No explicit requirements
Invoices subject to the national invoice requirements (not self-bills)	• N.a.
(other) Invoices subject to the national invoice requirements (not self-bills)	• N.a.

Pagero Online does not support the creation of simplified invoices as they typically do not correspond to the business requirements of buyers.

6.6. Rectification document

In Hong Kong, a credit or a debit note must be issued as rectification documents. A credit or a debit note should include at least the following information:

Specific references for rectification documents	
Must the word "credit note" be mentioned	• No, but recommended
Reference to original invoice required on a credit note	• Invoice number and date No specific rules in Hong Kong, but it is recommended to state the original invoice date and number to be credited for easy identification and tracking.

Clear indication required that the amount mentioned on the credit note is crediting earlier amount (e.g. minus sign '-')	• No, but recommended
Reason for credit required	• No, but recommended

Sequential numbering	
Separate sequential credit note numbering required	• No, but recommended
Allowed to issue one credit note to correct different invoices	• Yes

Pagero Online creates corrective invoices according to the content requirements of the complete invoice.

6.7. Optional content

This section outlines briefly whether and how the trading parties can provide additional content in the technical e-document format mandated or otherwise prescribed in the specific jurisdiction.

There are no explicit requirements in Hong Kong in this regard.

7. Integrity and Authenticity

Ensuring the integrity of the content, as well as the authenticity of the origin (I&A) of an invoice, is an obligation for both the Supplier and the Recipient.

The purpose of this section is to further clarify the local I&A requirements on invoices. The review is done both from the Supplier's and the Recipient's perspective, as varying rules may apply.

Item	Supplier	Recipient
Whether it is mandatory to ensure I&A in the jurisdiction	• Yes	• Yes
Which methods for ensuring I&A are provisioned for	• Any means Business Controls, EDI, e-signature	• Any means Business Controls, EDI, e-signature validation
Which requirements apply for I&A methods if ensured by a third-party (outsourcing)	• No explicit requirements	• No explicit requirements

7.1. e-Signature

Even where e-signature is not an explicit requirement, Pagero recommends that our customers apply it as, globally, it is the most widely accepted legal means of ensuring I&A for business transactions.

In practical terms, this results in the same evidential position for eDocuments as for paper documents. This unique feature of e-signature provides an exceptional level of legal certainty.

Item	Commentary
e-Signature technical requirements	• A digital signature supported by a recognized certificate issued by a certification authority recognized by the Government Chief Information Officer under the Electronic Transactions Ordinance is recommended.
Automated e-signing	• No explicit requirements
Timestamping of e-signature	• No explicit requirements

7.2. e-Signature validation

The Recipient of an invoice is often required by law or practice to validate the e-signature on the received invoice. Even for countries where the validation-upon-receipt is not expressly regulated, this is recommended by Pagero for both trading partners to be able to guarantee I&A.

Item	Commentary
Validation upon receipt	• No explicit requirements
Timestamping of validation data	• No explicit requirements

8. Document retention

This section describes archiving requirements regarding the e-invoicing process and documents handled by Pagero. Please note, additional archiving requirements may apply to your specific documents.

Item	Commentary
Components to be stored (e.g. tax invoice, source documents, audit trail, I&A proof)	• Original invoice with signature including certificate or other evidence of integrity and authenticity as appropriate
Requirements to present stored documents in a specific audit format	• No formal requirements for capabilities to transform to audit format
Legibility, i.e. the ability to read stored e-documents by an untrained eye	• Required
Legibility requirements	• Recommended formats are txt, rtf, html, pdf, epsf, tiff, png, gif, jpeg, cad
Retention period for invoices not related to immovable property[7]	• 7 years
Start point of retention period calculation for invoices not related to immovable property	• 7 years as of the start of the year of assessment when the invoice is issued
Retention period for e- invoices related to immovable property	• 7 years
Start point of retention period calculation for invoices related to immovable property	• It counts from financial year. For example, if a company adopts March as financial year end, and issues an invoice in 4 April 2020, it has to keep the invoice for YE March 2021, 22, 23, 24, 25, 26, 27.
Retention period for other than regular invoices or invoices related to immovable property (if existing):	• N.a.

[7] Pagero stores all documents for 90 days due to data privacy and security regulations, after which the data is automatically deleted, unless Archive has been selected. Pagero provides long term archiving (for the legally required term, plus one year)

Start point of retention period calculation for other than regular invoices or invoices related to immovable property:	• N.a.
Outsourced archiving	• Allowed
Archiving abroad[8] and conditions, if any (e.g. notification, derogation, online access, mutual tax assistance treaty	• Storage abroad allowed subject to online access and legibility
Other requirements in relation to electronic document retention	• No explicit requirements

[8] In certain situations or jurisdictions deviating requirements – typically regarding archiving abroad – may apply to invoices and related documents, e.g. concerning matters of defence and national security. Therefore, Pagero encourages customers to inquire for and receive an explicit written statement from the local tax authority stating that the archiving of such documents outside of the taxpayer's country is permitted. Pagero in a capacity of a third-party may not apply for derogations or clarifications of this nature on behalf of a taxpayer.

9. Other transactional documents

Along with invoices, countries may have regulations relating to other trading documents. The purpose of this section is to provide a selective (not exhaustive) overview of the regulation of other transaction-related documents of importance.

Document	Commentary
Purchase order	• No explicit requirements
Rectification document	• See sections 5.9. and 6.6. above
Payment instruction	• No explicit requirements
SAF-T (or alike) reporting	• No explicit requirements
Transportation documents	• No explicit requirements
Other	• No explicit requirements

10. Other requirements

This section highlights certain aspects of the local regulations and infrastructure that differ from Pagero's General invoice processing and our standard country compliance investigation.

10.1. Public Procurement

In Hong Kong there is a e-Procurement Programme that enables electronic transactions between suppliers and the public sector through a webportal.

The electronic services offered through the portal includes the option of creating or uploading electronic invoices for

- goods and non-construction service, contracts not exceeding HK 1.4 million (EUR 172 000)
- consultancy services not exceeding HK 3 million (EUR 368 000)

10.2. Indirect tax reporting

There is no requirement to conduct indirect tax reporting in Hong Kong.

10.3. Business- and Company Registration Numbers

In Hong Kong there is a need for companies to be registered both as a company to receive a Company Registration Number (CRN) and as a business to receive a Business Registration Number (BRN). Both numbers are a must to do business in Hong Kong.

These numbers and processes can be a bit confusing but serves different purposes and are administered by different governmental departments.

Company Registration Number (CRN) is administered by the Companies Registry and serves as a "social security" number for identification.

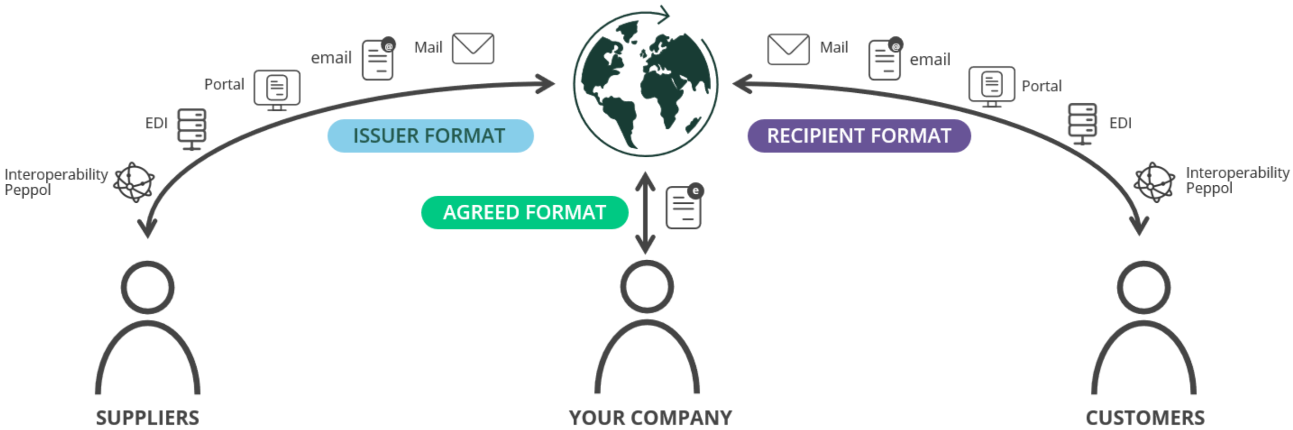
Business Registration Number (BRN) is administered by the Inland Revenue Department (IRD) and works as a tax identification number. Must be applied for withing one month of doing business in Hong Kong.

11. Country-specific processing

This section outlines how the Pagero General e-invoicing process has been adapted to the local requirements to ensure compliant local processing.

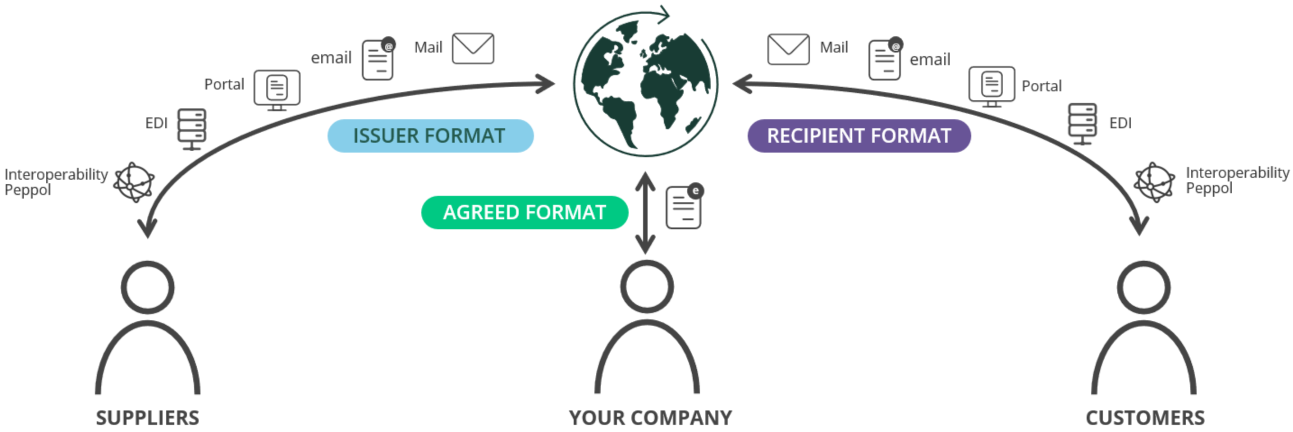
In Hong Kong there is no difference between B2B and B2G.

11.1. Document issuance (AR) with Pagero



(1) PAGERO ensures that documents can be exchanged with your company and your suppliers and customers, from your company perspective in a single format to ensure 100% digital AR and AP processing, while on the other hand in the preferred format and exchange mechanism with your trading partners
(2) PAGERO ensures the country-specific document content, document integrity and authenticity, as well as archiving requirements
(3) PAGERO supports unlimited number of document formats and multiple exchange mechanisms
(4) PAGERO supports such exchange channels as: Interoperability, Peppol, EDI, portal, e-mail, capturing / scanning, etc.

11.2. Document reception (AP) with Pagero



(1) PAGERO ensures that documents can be exchanged with your company and your suppliers and customers, from your company perspective in a single format to ensure 100% digital AR and AP processing, while on the other hand in the preferred format and exchange mechanism with your trading partners
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12. Closing statements

12.1. Confidentiality

This General invoice processing description of Pagero Online, our Country Compliance Reports, and other documents provided by Pagero are of confidential nature and are only intended for and may only be used by Pagero's Customers, their employees or other authorized recipients for the purpose or purposes specified and agreed to between the parties. Descriptions, reports, and documentation may not – neither in full nor in parts – be copied or otherwise distributed to third parties without Pagero's prior written consent.

12.2. Disclaimer

In order to establish a relationship based on trust and transparency with our Customers, Pagero provides its General e-Invoice and eArchiving processing descriptions of Pagero Online as well as Pagero's Country Compliance Reports. These documents are intended to enable our Customers and their tax advisors to assess how Pagero has interpreted the relevant legislation and implemented it in our processes in order to support our Customers to fulfil their legal obligations.

We would like to remind our Customers that, according to tax and accounting regulations, the outsourcing of any process to third parties (such as issuance, compiling, processing, receipt, or archiving of e-Invoices), will not lead to a shift of liability, the liability will remain with the Customer. Accordingly, the taxable person always remains responsible towards the local authorities for ensuring their e-Invoice compliance, and for fulfilling accounting and reporting requirements. We want to emphasise this, in the light of that there can be potentially conflicting regulations on regional, national, or international levels.

Pagero endeavours to only include and provide accurate and up to date information. However, Pagero makes no guarantees as to the accuracy of any statement, information or advice provided by Pagero, whether in writing or verbally. The Customer must make an informed decision about whether to adhere to and follow such recommendations or not. The final decision and responsibility regarding tax, accounting, and reporting issues rest with the Customer.

Revision history

Date	What has changed
26 November 2018	Document created
13 October 2021	Section 6: updated information on document content requirements
28 November 2022	Document updated in all sections